Paper II · Unit I · Topic 3 — Substantive depth supplement: colonial conquest, revenue and economic transformation

Original additional study material | 25 October 2026 | Partial repair only; original PDF preserved; academic review pending

1. Plassey and Buxar: from political manipulation to fiscal-military rule

Plassey in 1757 and Buxar in 1764 should not be treated as interchangeable victories. Plassey arose from a crisis in Bengal politics involving the East India Company, Siraj ud-Daulah and a coalition of dissatisfied elites; defections and negotiation mattered alongside military action. Buxar brought the Company into conflict with a wider coalition involving Mir Qasim, Shuja ud-Daulah and Mughal emperor Shah Alam II. The 1765 grant of diwani rights allowed the Company to collect revenue in Bengal, Bihar and Orissa, creating the financial basis for territorial expansion. This sequence transformed the Company's balance sheet: revenues raised from Indian territory could finance troops, procurement and political intervention. The state-building mechanism was not a simple march of European technological superiority. It depended on Indian bankers, merchants, soldiers, landed elites and rival state interests. A mains answer should distinguish conquest, fiscal authority and administrative accountability rather than collapse them into one battle date.

2. Carnatic Wars: global conflict and regional succession politics

The Carnatic Wars demonstrate how eighteenth-century Indian politics became entangled with European interstate rivalry without being determined by Europe alone. Anglo-French competition intersected with succession disputes in the Carnatic and Hyderabad. Indian claimants actively negotiated military assistance and revenue concessions, while European companies sought secure ports, commercial privileges and political influence. The British victory at Wandiwash in 1760 and the fall of Pondicherry in 1761 sharply reduced French prospects for territorial dominance, although French commercial presence continued. This distinction matters: a military defeat need not mean total disappearance of a trading community. Students should map three layers of causation—European war, Indian succession disputes and company finance. The battles also exposed how locally recruited troops and regional alliances became decisive in struggles often described as contests between foreign powers. Telangana relevance appears in Hyderabad's diplomatic environment and the long-term development of British subsidiary influence over the Nizam's state.

3. Mysore: innovation, coalition warfare and the limits of resistance

Haidar Ali and Tipu Sultan resisted Company expansion through diplomacy, military adaptation and resource mobilisation. Mysorean forces used infantry, artillery and rockets, and Tipu sought alliances to offset Company advantages. The four Anglo-Mysore Wars were not a continuous sequence of British victories: the conflict shifted as regional powers entered and left alliances. The defeat and death of Tipu in 1799 reflected the combined pressure of British military organisation, alliances and fiscal resources, not the supposed absence of Indian innovation. The aftermath reshaped Mysore's political status under a restored Wodeyar dynasty within a British-dominated framework. An answer that calls Mysore merely 'backward' misses the evidence of military experimentation and administrative ambition. At the same time, resistance should not be romanticised as a unified Indian nationalism in the modern sense. Rulers pursued dynastic security, territorial advantage and commercial autonomy within eighteenth-century political conditions.

4. Maratha power and the subsidiary-alliance system

The Maratha confederacy was a network of powerful chiefs and institutions rather than a single permanently unified army. Internal rivalry, regional revenue interests and competing strategies complicated resistance to the Company. The Anglo-Maratha Wars involved shifting alliances and disputes over the Peshwa's authority. British expansion exploited these divisions while deploying financial and military resources obtained from earlier territorial gains. Subsidiary alliances converted diplomatic dependency into a structural limit on sovereignty: an Indian ruler accepted British troops, financed their maintenance and constrained independent foreign relations. Such arrangements could preserve a dynasty while narrowing its ability to make policy. Hyderabad's Nizam is an especially relevant example of the indirect-rule pattern, although the Nizam's state retained important internal administrative powers. This distinction helps explain why 'British India' and princely India cannot be treated as legally identical administrative spaces.

5. Land revenue settlements and their unequal consequences

The Permanent Settlement in Bengal, ryotwari arrangements in parts of Madras and Bombay, and mahalwari systems in northern areas differed in the unit of assessment and the state's relationship to cultivators or intermediaries. None can be understood simply as a single uniform British tax. In the Permanent Settlement, the zamindar's revenue obligation was fixed, but cultivators did not thereby gain secure rights. Ryotwari arrangements placed the state in more direct fiscal relation with cultivators, yet assessments and collection pressure could still be burdensome. Mahalwari systems treated a village or estate unit as central to revenue settlement. Effects varied by soil, rainfall, prices, local power relations and the availability of credit. A drought could turn a nominally predictable assessment into an impossible obligation. The historian must separate the legal structure of a settlement from its lived consequences. Tenant insecurity, moneylender debt and land transfer were shaped by the interaction of policy and local institutions.

6. Commercialisation, crafts and the colonial economy

Commercialisation meant increased production for markets, but it did not automatically mean rising prosperity for cultivators. Cotton, indigo, opium and other commodities were connected to global demand, transport infrastructure and credit networks. A farmer might gain from favourable prices but become more exposed to volatility, coercive contracts and debt. The decline of some traditional crafts also requires careful explanation. Imported machine-made textiles, changing elite consumption, tariff policies, loss of older courts and uneven access to capital affected artisans differently across regions. 'Deindustrialisation' describes a historically important trend but should not be used as a claim that every craft vanished or every industry declined at the same rate. The colonial economy also created new commercial and industrial groups. A balanced answer therefore considers sectoral differences, regional variation and the distribution of gains and losses.

7. Drain of wealth: the argument and its evidence

Dadabhai Naoroji's drain theory argued that colonial rule transferred resources from India without equivalent domestic returns. The issue was not merely export volume: some transfers took the form of official salaries, pensions, interest payments, remittances and costs of administration or military activity financed from Indian revenues. The argument helped transform economic criticism into nationalist politics by connecting poverty to the institutional structure of empire. However, historical evaluation should distinguish a conceptual mechanism from a precise numerical estimate. Different scholars have debated how to calculate transfers, which payments represented services and how to value capital flows. It is not academically sound to attach one universal drain percentage to the entire colonial period. For mains preparation, explain the channels, identify Naoroji's contribution, discuss limitations in historical accounting and relate the theory to later nationalist demands for fiscal accountability and self-government.

8. Railways, communications and the double-edged logic of infrastructure

Railways, roads, telegraphs and ports integrated markets and enabled faster movement of goods and people. They also served military deployment, administrative control and the export-oriented needs of colonial commerce. The same railway could lower transport costs for an Indian merchant and strengthen the state's ability to move troops. Therefore infrastructure cannot be labelled wholly beneficial or wholly extractive without asking who paid, who gained access and how routes were selected. Guarantee arrangements for private railway investment could transfer financial risk to Indian public revenues. Meanwhile, transport networks encouraged new labour migration, urban growth and political communication, eventually assisting nationalist organisation. A sophisticated answer shows how institutions created for imperial priorities could later be used for anti-colonial mobilisation. Hyderabad and the Deccan also had distinctive railway and administrative arrangements under princely rule, so the chronology of British-administered territories should not be copied mechanically onto Telangana.

9. Colonialism and Telangana: the limits of a uniform national narrative

Telangana formed part of the Hyderabad princely state for much of the colonial period, not a directly administered British province. British influence nevertheless operated through treaties, subsidiary forces, diplomacy, trade, military pressure and wider economic integration. The Nizam's government exercised internal powers while facing constraints in external relations and strategic choices. Salar Jung's later reforms belong to the history of Hyderabad's administrative modernisation, not simply to the British land-revenue settlements applied elsewhere. A strong TGPSC answer should identify these layered sovereignties: direct colonial administration, princely-state autonomy and indirect imperial influence. The distinction matters for explaining land tenure, education, policing, communications and the emergence of social movements. Avoid writing that the Permanent Settlement was imposed across Telangana in exactly the same way as Bengal. The correct approach is to compare institutions, specify jurisdiction and period, and explain how imperial power affected both British provinces and princely states through different mechanisms.

10. Mains answer blueprint and evidence checks

For a question on 'British expansion and economic transformation', begin with the Company's conversion from trade to territorial power, then analyse Plassey, Buxar and the diwani as a fiscal-military sequence. Compare Mysore, Maratha and Sikh resistance without portraying Indian rulers as a single national coalition. Explain subsidiary alliances and the difference between direct rule and princely states. Move to land revenue, commercial crops, crafts, wealth transfers and infrastructure, highlighting who benefited and who bore risks. Include Telangana through Hyderabad's distinctive position under the Nizam. Conclude that colonialism created new administrative and economic integration but organised much of that integration around imperial priorities. For factual verification, prefer original treaties, revenue records, official statistical series and contemporary writings such as Naoroji's economic arguments. This supplement deepens specific concepts but does not certify the earlier chapter's original practice questions or its entire historical account; a full academic audit is still necessary.